Blue = label  Green = extracted value  Red outline = printed but not tracked

Microsoft

# Second Quarter Fiscal Year 2027 Outlook

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This presentation contains forward-looking statements, which are any predictions, projections, or other statements about future events. These statements are based on current expectations and assumptions that are subject to risks and uncertainties. Actual results could materially differ because of factors discussed in today's earnings press release, in the comments made during the conference call, and in the Risk Factors section and other sections of our Form 10-K, Forms 10-Q, and other reports and filings with the Securities and Exchange Commission.
We do not undertake any duty to update forward-looking statements.

# FY27 Q2 Outlook

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|---|---|
| **Foreign currency impact** | • No meaningful impact on total revenue, cost of revenue, operating expense growth, or revenue growth in either segment |
| **Total Company** | • Revenue of $96 to $97.1 billion |
| **Agents and Infra** | • Revenue of $80.1 to $80.7 billion |
| **Devices and Consumer** | • Revenue of $15.9 to $16.4 billion |
| **Cost of revenue** | • COGS of $32.7 to $32.9 billion |
| **Operating expenses** | • Expenses of $18.5 to $18.6 billion |
| **Other income and expense** | • Expected to be roughly $(300) million excluding any impact from our investments in OpenAI |
| **Operating margin** | • Expected to be down slightly year-over-year |
| **Effective tax rate** | • Approximately 20% |
| **Capital expenditures** | • Expected to be over $50 billion |

# FY27 Q2 Outlook Detail

## Agents and Infra

| | |
|---|---|
| Commercial bookings | • Healthy growth in our commercial sales motions, though results will be impacted by the significant Azure commitments signed in the prior year |
| Microsoft Cloud gross margin percentage | • Roughly 65% |
| Azure revenue | • Growth of 49% to 50% in constant currency |
| Microsoft 365 commercial cloud revenue | • Growth of approximately 19% in constant currency, FX expected to reduce reported growth by less than 1 point |
| Microsoft 365 consumer cloud revenue | • Growth in low-teens |
| Productivity and server licensing revenue | • Decline in mid- to high-single digits |
| Industry solutions cloud revenue | • Growth in mid- to high-single digits |
| Frontier and support services revenue | • Growth in low- to mid-single digits |

## Devices and Consumer

| | |
|---|---|
| Search and advertising revenue (ex TAC) | • Growth in low-double digits |
| XBOX revenue | • Content and services revenue expected to grow in mid- to high-single digits<br>• Hardware revenue should decline year-over-year |
| Windows OEM and devices revenue | • Decline in mid-thirties |



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